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As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- Banks continue to fear the intricacies of foreclosing on seniors housing and long-term care properties. State health departments have rescinded receivers and threatened to delicense communities because of incorrect foreclosure actions. This has forced lenders to cooperate more with borrowers through providing extensions, forbearances, and in some cases even reduced payoff amounts.
- More communities are utilizing perfect attendance bonuses that tack onto employee's hourly rates to incentivize staff to fulfill shifts. Ranging from 2.75%-5% of the employee's gross compensation, qualification is achieved through missing no shifts in the prior month. As staffing pressures have begun easing in some markets, these bonuses have helped reduce agency and overtime costs.
- The spread between underwritten Replacement Value and Market Value is increasing for property insurance. Recent quotes we've seen indicate Replacement Values approaching 2-2.5x what the property's actual Market Value is.
- Skilled Nursing landlords are taking more proactive steps to understand their properties' physical plant conditions and have their tenant uphold capex/maintenance obligations in the lease. Many of these groups have set new goals to visit these properties once every year versus every 3-5 years.
- States that allow for high-acuity Assisted Living Medicaid Waiver programs are posing increased threats to Skilled Nursing operators. These residents would have been low-acuity in a Skilled Nursing setting, producing a higher margin %. Some Skilled operators have embraced this and began acquiring Medicaid Assisted Living communities themselves.
- PACE funding is being utilized to give developers more of a runway for completed senior projects that are behind in lease-up projections. These funds can retire part of the senior lender's debt (allowing for an extension) and provide working capital. Some of the major qualifying factors are that the project received its certificate of occupancy within the past ~3 years and the existing mortgage lender must be comfortable with the structure.
- A handful of Assisted Living providers are scheduling a visiting doctor to conduct physicals and screenings on residents. In many states, this removes the need to staff a nurse. It also reduces the bed-hold days for a resident admitted into a hospital for occurrences that could have been easily prevented (such as a UTI through dehydration).
- High net worth sellers of delicensed facilities are realizing tax benefits by transacting with non-profit groups. This structure offers tax advantages, as a write-off amount is produced for the difference between the "appraised" value and the sales price.
- Distressed Owners are leasing out their communities to triple-net tenants under short term durations that feature purchase options. While the lease rate is typically just enough to cover their debt service, these tenants theoretically feel more of a financial commitment under a lease than a third-party manager would and will fund losses.

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